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THE PULLBACK STRATEGY



Strategy video

This chapter delves into a price action strategy called “the pullback or retest”. Similar to its name, this strategy utilizes the concept of breakouts and pullbacks to identify highly profitable trading setups.

INTRODUCTION

The “Pullback trading” or “pullback and retest” strategy refers to the temporary halt in the price chart of a stock from its recent highs in an established uptrend. *This strategy aims to capture price movements when the price comes back for retesting its previous resistance levels after a breakout.*



A breakout means a bold move of price beyond a defined range or resistance level which indicates a potential shift in the market sentiment/trend.

As a trader, you will have to wait for the price to retest its previous resistance levels before taking a trade. By waiting for the price to retest its previous range, you can lower your stoploss level and potentially increase the chances of gains.

